The Freelancer Rate Calculator

How to Price Your Work and Actually Get Paid What You're Worth

Empire Rewards — Free Edition

INTRODUCTION

Most freelancers undercharge. Not because they lack skill, but because they price by feel instead of by math.

Here's what actually happens when you charge $40/hour:

- You bill 25 hours a week (the other 15 are admin, marketing, emails)
- Gross: $1,000/week = $52,000/year
- Self-employment tax (15.3%): –$7,956
- Business expenses (software, insurance, equipment): –$6,000
- Unpaid vacation (2 weeks) and sick days (1 week): –$6,000
- **Actual take-home: $32,000**

That's $16/hour. Less than a warehouse job.

This guide shows you how to calculate your true rate, benchmark it against your industry, and raise your prices without losing clients.

Let's begin.

PART 1: THE FREELANCE RATE FORMULA

Here's the exact formula professional freelancers use. It's not a guess — it's math.

Step 1: Calculate Annual Business Expenses

Everything you pay for that supports your work:

- Software subscriptions (Adobe, Figma, etc.)

- Equipment (laptop, camera, mic)
- Insurance (liability, health)
- Marketing and advertising
- Professional development (courses, books, conferences)
- Website and hosting
- Phone and internet (business portion)

Example: $6,000/year

Step 2: Calculate Personal Expenses and Desired Income

What you need to live on and what you want to earn:

- Rent/mortgage
- Food
- Transportation
- Utilities
- Entertainment
- Savings goals
- Retirement contributions

Example: $60,000/year

Step 3: Add Self-Employment Tax

In the US, self-employment tax is 15.3% (12.4% Social Security + 2.9% Medicare). Add 25–30% of your income to cover both self-employment tax and income tax.

Example: 30% × $60,000 = $18,000

Step 4: Calculate Total Annual Need

Business + Personal + Tax = Total

Example: $6,000 + $60,000 + $18,000 = $84,000

Step 5: Estimate Billable Hours

There are 2,080 working hours in a year. But 20–30% of your time is non-billable:

- Marketing and prospecting
- Invoicing and admin
- Email and communication

- Learning and skill development
- Client calls and meetings

Realistic billable hours: 1,200–1,500 per year

Example: 1,400 billable hours

Step 6: Calculate Minimum Rate

Total Annual Need ÷ Billable Hours = Minimum Rate

Example: $84,000 ÷ 1,400 = $60/hour

The Final Formula

Minimum Rate = (Business Expenses + Personal Expenses + Tax) ÷ Billable Hours

This is your break-even. It's what you need to charge just to cover your costs. Anything above it is profit.

Your Target Rate

The minimum rate gets you by. Your target rate is what you actually charge:

- **Minimum rate:** $60/hour
- **Target rate:** $75–$90/hour (add 25–50% for margin)

The margin covers:

- Slow months
- Scope creep
- Difficult clients
- Business growth
- Retirement savings

PART 2: MARKET RATE BENCHMARKS (20 INDUSTRIES)

Here's what freelancers in your industry typically charge. Use this to validate your calculated rate.

Industry	Entry Level	Mid Level	Senior Level
Web Development	$50–$70/hr	$70–$100/hr	$100–$150/hr
Mobile Development	$60–$90/hr	$90–$120/hr	$120–$200/hr
DevOps / Cloud	$75–$100/hr	$100–$150/hr	$150–$250/hr
Graphic Design	$40–$55/hr	$55–$75/hr	$75–$150/hr
UI/UX Design	$50–$70/hr	$70–$100/hr	$100–$200/hr
Video Production	$50–$75/hr	$75–$100/hr	$100–$200/hr
Copywriting	$30–$50/hr	$50–$80/hr	$80–$200/hr
Content Marketing	$40–$60/hr	$60–$80/hr	$80–$150/hr
SEO Consulting	$50–$75/hr	$75–$100/hr	$100–$250/hr
Social Media Mgmt	$35–$50/hr	$50–$75/hr	$75–$120/hr
Photography	$50–$75/hr	$75–$125/hr	$125–$300/hr
Virtual Assistance	$15–$25/hr	$25–$35/hr	$35–$60/hr
Bookkeeping	$30–$50/hr	$50–$75/hr	$75–$125/hr
Management Consulting	$75–$125/hr	$125–$200/hr	$200–$500/hr
Financial Consulting	$60–$100/hr	$100–$150/hr	$150–$350/hr
Business Coaching	$75–$125/hr	$125–$250/hr	$250–$500/hr
Translation	$25–$40/hr	$40–$60/hr	$60–$100/hr
Voiceover	$30–$50/hr	$50–$100/hr	$100–$300/hr
Illustration	$40–$60/hr	$60–$100/hr	$100–$200/hr
Data Analysis	$50–$75/hr	$75–$125/hr	$125–$200/hr

How to Read This Table

Find your industry and your experience level. If your calculated minimum rate is:

- **Below the entry-level rate:** You have room to charge more. Raise your rates.
- **At the mid-level rate:** You're in the right zone. Focus on value-based pricing to go higher.
- **Above the senior-level rate:** Either you're specialized (great) or overpriced for your market.

Using Benchmarks Wisely

Benchmarks are averages — not ceilings. Specialists in any field can charge 2–3x the industry average by:

- Focusing on a niche (e.g., "email copywriter for SaaS")
- Building a portfolio with measurable results
- Having a signature process or framework
- Getting referred by other high-value freelancers

PART 3: HOURLY VS. PROJECT PRICING

Both pricing models work. Here's how to choose.

Hourly Pricing

Best for: Ongoing work with unclear scope.

Pros:

- Protects you when projects drag on
- Easy to quote (just give a rate)
- Clients trust it because it's transparent

Cons:

- Punishes you for being efficient
- Creates tension when you finish early
- Caps your earning potential

Project Pricing

Best for: Well-scoped work where you know your time.

Pros:

- Rewards efficiency — finish faster, earn more per hour
- Clients prefer it (predictable cost)
- Removes the hourly mental math for both parties

Cons:

- Risk of underestimating scope
- Requires clear contracts
- Can feel unfair if scope creeps

The Smart Approach

Start with hourly when you're new to a client or the project scope is uncertain. Once you've done similar work multiple times and can estimate accurately, switch to project pricing.

The Project Pricing Formula

To convert an hourly rate to a project rate:

Project rate = (Estimated hours × Hourly rate) × 1.3

The 1.3 multiplier covers scope creep, revisions, and risk.

Example: 20-hour project at $75/hour = $1,500 × 1.3 = **$1,950 project rate**

Retainers

Retainers combine the best of both. The client pays a fixed monthly fee for a set amount of work. This gives you:

- Predictable monthly income
- Priority access for the client
- Less time on proposals and invoicing

Typical retainer structure: 20–40 hours per month, billed at a slight discount to your hourly rate (5–15%) in exchange for guaranteed volume.

PART 4: HOW TO RAISE YOUR RATES

Raising rates is the single highest-leverage financial move for a freelancer. Here's how to do it without losing clients.

The 30-Day Notice Rule

Give existing clients at least 30 days notice before a rate increase. Frame it as an annual review of your pricing, not a sudden change.

Quantify Your Value

When announcing a rate increase, reference specific results you've delivered.

Weak: "I need to raise my rates."

Strong: "The landing pages I wrote last quarter increased your conversions by 34%, generating approximately $48,000 in additional revenue. Effective January 1, my rate will increase from $60 to $80/hour to reflect this level of value delivery."

Offer a Transition Period

Consider honoring your current rate for projects already in the pipeline. Give clients 60–90 days to adjust their budgets.

PART 5: NEGOTIATION SCRIPTS

Word-for-word language for the four most common rate conversations.

Script 1: Opening the Conversation

"Hi [Client name], I wanted to give you advance notice about a rate adjustment. Effective [date, 30 days out], my rate will be [new rate]. This reflects both my continued investment in [skill/software/training] and the results we've been able to deliver together. I wanted to give you plenty of notice so we can plan the pipeline accordingly."

Script 2: If They Ask Why

"I've been evaluating my pricing across all clients, and I'm aligning my rates with the current market. I've also been investing in [specific skill or software], which has directly improved [outcome for them]. I'm confident the increased rate reflects the value I'm delivering."

Script 3: If They Push Back on Price

"I understand budget is tight. I'm happy to keep our current rate for projects already on the calendar, or we can look at adjusting the scope to fit the new budget. What works best for you?"

Script 4: If They Threaten to Leave

"I completely understand if this doesn't fit your current budget — I'd rather you tell me than have an uncomfortable working relationship. If you'd like, I can help transition the work to someone else at a lower rate. And of course, my door is always open if you want to work together in the future."

The Math Behind a Rate Increase

Most freelancers who raise rates by 20–30% keep 70–80% of their clients. Here's what that looks like:

- **Before:** 10 clients × $50/hour = $500/hour of capacity
- **After raising to $65/hour (+30%):** Lose 2 clients. Keep 8.
- **New revenue:** 8 clients × $65/hour = $520/hour of capacity
- **Net result:** +4% revenue with 20% less work

And the 2 clients who left? You fill those slots with new clients at the new rate. Two months later, you're at $650/hour of capacity.

PART 6: BUSINESS EXPENSES TO TRACK

Most freelancers forget half their deductions. Track all of these:

Software & Subscriptions

- Design tools (Adobe, Figma, Canva)
- Productivity (Notion, Asana, Slack)
- Accounting (QuickBooks, FreshBooks)
- Communication (Zoom, Loom)

Equipment

- Computer and monitor
- Camera, microphone, lighting
- Office furniture
- External hard drives

Insurance

- Liability insurance
- Health insurance (self-employed)
- Equipment insurance

Marketing

- Website hosting and domain
- Email marketing platform
- Paid ads
- Business cards and printed materials

Education

- Courses and certifications
- Books and industry publications
- Conferences and networking events

Home Office (US Tax Deduction)

- Portion of rent or mortgage
- Portion of utilities
- Portion of internet
- Home office supplies

Professional Services

- Accountant or bookkeeper
- Lawyer (contracts, LLC setup)
- Business coach or mentor

PART 7: FREELANCE TAX OVERVIEW

Understanding your tax obligations is essential to setting the right rate.

The 15.3% Self-Employment Tax

In the US, self-employment income over $400/year is subject to the self-employment tax:

- **12.4%** Social Security
- **2.9%** Medicare
- **Total: 15.3%**

This is **in addition to** your regular income tax. Set aside 25–30% of every payment for taxes.

Quarterly Estimated Payments

Freelancers pay taxes quarterly, not annually:

- **Q1 (Jan–Mar):** Due April 15
- **Q2 (Apr–May):** Due June 15
- **Q3 (Jun–Aug):** Due September 15
- **Q4 (Sep–Dec):** Due January 15

Deductible Expenses

Every business expense you track reduces your taxable income. A $5,000 deduction at a 30% tax rate saves you $1,500.

The Freelancer Tax Checklist

- Set aside 25–30% of every payment in a separate savings account
- Track every business expense (use the included expense tracker)
- Make quarterly estimated payments
- Keep receipts for 3+ years
- Hire an accountant if income exceeds $50,000/year

PART 8: THE INVOICE TEMPLATE

Professional invoices get paid faster. Here's what to include:

Required Elements

- Your business name and contact info
- Client name and contact info
- Invoice number and date
- Payment due date (typically 30 days)
- Itemized list of work performed
- Hours or project details
- Subtotal, tax (if applicable), total
- Payment methods accepted
- Late fee policy

Best Practices

- **Send invoices within 24 hours of project completion.** The longer you wait, the slower the payment.
- **Use numbered invoices.** INV-2026-001, INV-2026-002, etc. This helps with accounting.
- **Add late fees.** Standard is 1.5% per month on overdue amounts.
- **Include multiple payment methods.** Bank transfer, PayPal, Stripe, Wise.
- **Follow up on overdue invoices.** Send a reminder at 30 days, 45 days, and 60 days.

PART 9: THE CLIENT PROPOSAL TEMPLATE

A strong proposal wins the client. Here's the structure:

1. Introduction

Brief acknowledgment of the client's project or challenge.

2. Understanding of the Project

Show you understand what they need and why it matters.

3. Your Approach

Describe your process — what you'll do and how.

4. Scope of Work

Specific deliverables, timeline, and milestones.

5. Investment

- Hourly or project rate
- Payment schedule (typically 50% upfront, 50% on completion)
- What's included and what's not

6. Timeline

Start date, key milestones, completion date.

7. About You

Brief bio, relevant experience, 2–3 case studies or testimonials.

8. Next Steps

Clear call to action — how to accept the proposal and what happens next.

9. Terms

- Revisions policy (e.g., 2 rounds included)
- Payment terms (Net 15 or Net 30)
- Late fee policy
- Intellectual property transfer

PART 10: FREQUENTLY ASKED QUESTIONS

How do I calculate my freelance hourly rate?

Add your annual business expenses, personal expenses, and desired profit. Divide by your billable hours per year (typically 1,200–1,500 out of 2,080 total work hours). For example, if you need $80,000 and can bill 1,400 hours, your minimum rate is $57/hour.

What is the average freelance hourly rate?

Average rates vary by industry. Web development: $50–$100/hour. Graphic design: $40–$75/hour. Copywriting: $30–$80/hour. Consulting: $75–$200/hour. Virtual assistance: $15–$35/hour. See the 20-industry benchmark table for details.

Should I charge hourly or per project?

Project-based pricing is generally better for experienced freelancers because it rewards efficiency. Hourly pricing works better for ongoing work with unclear scope. The proposal templates in this kit include language for both models.

How do I raise rates with existing clients?

Give 30 days notice, explain the value you've delivered with specific metrics, and offer a transition period for projects already in the pipeline. The negotiation scripts provide word-for-word language for this conversation.

Do I need to pay self-employment tax?

Yes. In the US, self-employment income over $400/year is subject to a 15.3% self-employment tax on top of regular income tax. Set aside 25–30% of every payment for taxes.

What if clients say my rates are too high?

Some clients will always say rates are too high. That's fine — they're not your clients. The freelancers who earn the most charge premium rates and work with clients who value their expertise.

How do I handle scope creep?

Define scope clearly in the proposal. Include a revision limit (e.g., 2 rounds). State in writing that additional work will be billed at your hourly rate. The proposal template includes this language.

Should I have a contract?

Yes. Always. A contract protects both you and your client. It should cover scope, timeline, payment terms, revisions, IP transfer, and termination conditions. The template in this kit includes all of these.

CONCLUSION

You now have:

- The exact freelance rate formula with a real example
- Market benchmarks for 20 industries
- Hourly vs. project pricing guidance
- Word-for-word rate increase negotiation scripts
- A business expense tracking framework
- Self-employment tax guidance
- Invoice and proposal templates
- Answers to the most common freelancer pricing questions

The only thing left is to set your rate. Use the calculator. Pick your target rate. Then next time a client asks "what do you charge?", you answer with confidence and math behind you.

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